

Chapter 4

JOINT OWNERSHIP

DEFINITION AND SCOPE

Definition

Joint ownership or Co-ownership is the right of ownership exercised by two or more persons in relation to the same object. In other words, it refers to the right of use and enjoyment, right of possession and exclusion of others and the right to transfer a thing or to charge it with pledge or mortgage exercised jointly by several persons. **See Art 1257 (1)** of the Civil Code.

The main characteristics or natures of joint ownership

- The thing, which is jointly owned, is undivided and,
- Each joint owner is considered as owner of each and every part of the thing.

Note that the share joint owners have in the thing is determined by the agreement entered in between them. However, where there is no agreement as to the share of joint owners, the law presumes that they have equal share.

THE SCOPE OF RULES GOVERNING JOINT OWNERSHIP

- The rules on joint ownership are applied to cases where the relations between the co-owners are simple relations of common interest in a thing.
- Hence they do not apply to things held jointly as a result of a partnership agreement, i.e., an agreement to join resources with the purpose of undertaking commercial activities and earning a profit. Though such cases represent special cases of joint ownership, they are governed by the law governing businesses and business organizations rather than by the rules of joint ownership under Property Law. Compare Arts 211 and 228 of the Commercial Code.
- Similarly, even though marriage results in the community of property of spouses common/joint properties of spouses are governed by special body of law, i.e. Family Law not by the law of property.
- Furthermore, joint ownership of things is regulated **primarily by the agreement entered into by the joint owners at the time of inception of joint ownership**, where joint ownership arises from contracts, or by the agreement entered in to after the joint ownership is created and/or by the mandatory provisions of the rules contained in the Civil Code, i.e., Arts 1257-1308. In other words, the rights and duties of the joint owners, the use and administration of the thing are regulated by the agreements entered in to by the joint owners provided that the agreements are not defective/ invalid/ and are not contrary to mandatory provisions of the Civil Code mentioned above. See Arts 1264, 1265, 1266, 1267, 1268/2/, 1271 and 1274 of the Civil Code.

- The permissive provisions of the Civil Code shall apply where there is no agreement or a provision governing the various aspects of joint ownership or where such agreement or provision is defective or invalid. See Arts 1263, 1275, 1260 1268/3/ of the Civil Code.

ADVANTAGES AND DISADVANTAGES OF JOINT OWNERSHIP

ADVANTAGES

- It helps people to acquire certain property very important for their lives, which they would not have otherwise acquired because of lack of sufficient financial capacity by joining or contributing a lesser amount of money.
- It helps to achieving efficient utilization of scarce resources. For instance, condominium building occupies small hectares of land and accommodates large families which is impossible for individual family level buildings

DISADVANTAGES

Property administration inconvenience

The guiding principle is that joint owners shall, acting together, administer the thing jointly owned. Administration here may refer to how the thing is used, its repair and maintenance, bringing or defending legal actions, sale, lease, pledge or mortgage of the thing jointly owned and these decisions has to be made by joint owners acting together. Furthermore, certain decisions such as the decision to sale, or mortgage, or pledge the thing or a decision to change the purpose for which the thing is acquired /transformation of the thing/ has to be **made by unanimous consent of all joint owners**. See **Art 1265 and 1266** of the Civil Code. It is generally accepted that a free and swift transfer of goods is an essential precondition for effective commercial transactions, which may bring about economic development to a country and benefit the public.

However, it is usually **difficult to obtain the agreement of all joint owners to reach a certain decision**. Hence, joint ownership may hinder the free transfer of goods because joint owners may not have the opinion and understanding as to the importance of the proposed act to agree to the proposed act.

SOURCES OF JOINT OWNERSHIP

- **Joint Ownership Arising from Contracts**: Two or more persons who intend to acquire and use a thing commonly or jointly may enter in to a contract creating joint ownership in relation to the same object or thing. Contractual agreements creating joint ownership have to fulfill all the requirements for the formation a valid contract, i.e., consent, capacity, object and form. See Arts 1676/1/, 1768 and 1679-1730 of the Civil Code. However, you have to note that no special form is required for validity of contracts of joint ownership and they can be made orally unless they are required to be made in

writing by law or the agreements of the parties. Accordingly, contracts creating joint ownership over immovable things and special movable things have to be in writing. See Arts 1719-1730, 1282 and 1283 of the Civil Code.

- **Joint Ownership Arising from the Law** – Joint ownership may also arise from the provisions of the law. For instance, Art 1060 of the Civil Code provides that a **succession shall remain in common between the heirs until it is partitioned or divided among them** and the provisions of the Civil Code, i.e., Arts 1257-1308 shall govern the rights and duties of co-heirs. Similarly, Art 1393 of the Civil Code, which deals with a right of recovery exercised by two more persons of the same standing, provides that they will be considered as joint owners of the thing recovered.

RIGHTS AND DUTIES OF JOINT OWNERS

1. **Right to Use and Enjoy the Undivided Thing/Property**, and its Fruits: Each joint owner has the right to use the thing jointly owned in accordance with its contractual or legal/ natural purpose. However, he must exercise such rights without preventing other joint owners from using it. Furthermore, the fruits produced by the jointly owned thing, such as agricultural products of a land, increases from breeding of animals and incomes generated from jointly owned things shall belong to all joint owners jointly and each joint owner has the right to demand the partition of the such fruits or the proceeds of the sale of the fruits at any time. See Arts 1263 and 1264 of the Civil Code.
2. **Right to Administer the Thing**: As we have tried to see above, the rights/ interests of the co-owners in the jointly owned thing do not constitute a specific material unit. In other words, no co-owner individually own specific part/unit of the thing. Therefore, no joint owner can exercise any right or physical act of causing material changes or modifications or change of purpose or exercise a right of creating legal acts such as usufruct, servitude lease, sale, mortgage, pledge of the thing that implies the existence and exercise of complete individual ownership. Hence, the consent of the other joint owners is required in order to undertake any one of these acts in relation to the thing jointly owned. Generally, it can be said that jointly owned things are administered by the joint owners acting together and **each joint owner has the right to participate in decisions regarding the administration of the thing jointly owned**. See Art 1265 and 1266 of the Civil Code. Hence, **decisions are made by majority vote of joint owners who represent majority share in the thing jointly owned**. However, decisions regarding pledge, mortgage, sale, donation of the thing or decisions to change the purpose for which the thing is acquired or decisions to make material changes which cause interference with the right of other co-owners requires unanimous vote of all joint owners. See Arts 1265, 1266 and 1259 of the Civil Code. A co-owner may make material changes which do not interfere with the right of use of other joint owners or which is useful to all.

3. According to Art 1267 each co-owner shall bear, in proportion to his/her share, **the costs of administration, taxes... and necessary costs** (costs incurred to avoid loss or damage to the thing). Each co-owner has right to force other co-owners to reimburse him with necessary expenses. In other words, a joint owner who incurred costs for the maintenance and preservation of the jointly owned thing has the right to demand reimbursement of the money he has paid in proportion to their shares. For example, where a joint owner pays for the maintenance of a house jointly owned there by preventing further damages, the other joint owners have the duty to contribute an amount of money in proportion to the amount of share they have in the house. See Art 1268 of the Civil Code. However, a joint owner may relieve himself of this obligation by surrendering his share in the thing to the joint owners. See 1268(3) and 1282(2).
4. Each joint owner has **the right to dispose of his share of rights** in the undivided interest in the thing jointly owned. See Art 1260 of the Civil Code. Hence, a joint owner may sell, donate, pledge or mortgage his share of right in the thing. Here you have to distinguish between the rights to dispose of the thing, which require unanimous decision of all co-owners, from the right to dispose of one's share in the thing jointly owned. However, other co-owners have the right of recovery, i.e., to force the third party buyer to sell it back to them.
5. Each joint owner has the **right to request termination of joint ownership**. In other words, each co-owner has the right to request the court, at any time, for partition or division of the thing or the sale by auction of the thing and division of the proceeds of the sale. If the thing jointly owned is a movable thing, a joint owner may apply for sale by an auction. See **1271**. This right cannot be waived by agreement. If the thing jointly owned is an immovable thing such as a building, a joint owner may apply for division or sale by auction where division seriously reduces the value of the thing or is contrary to its nature or purpose (see Art 1272 and 73).

However, **the right to require termination of joint ownership of immovable things** may be **waived for a period not exceeding 5 years** by the agreement creating the joint ownership or by subsequent unanimous agreement (see Art. 1274). Where the period fixed in the contract exceeds five years, the agreement not to require sale or division of the immovable jointly owned shall have no effect beyond five years and the joint owner may require termination of the joint ownership by division or sale. This is because allowing agreements that prohibit sale or division of the thing for a long period of time shall affect free transfer of goods and commerce, which is considered to have a huge effect public interest.